

Warburg Pincus Asia

Investment Strategy &
Forward Opportunities



Summary

AUM

- \$85B+ globally
- Invested \$10B+ in India with 80+ investments

Sectors

- Financial Services
- Consumer/Retail
- Healthcare
- Technology

Geography

- Strong India focus
- North America, Asia Pacific, and Europe

Cheque Size

\$30M - \$1B

Deal Type

Growth equity + Control Buyouts

Investment Thesis (Inferred from case studies/past deals)

Targets scaled platforms → enable next-phase growth via strategic partnership

Value Creation

- Operational efficiency improvements → Tech focused
- Geographic expansion (pan-India/pan-Asia)
- Margin Expansion
- Strategic M&A

Exit Paths

Platform building for

- Strategic sale/IPO
- Secondary PE

Portfolio Logic



What they say?

PUBLICLY STATED

- 01 Partner with market leaders
- 02 Patient capital for expansion
- 03 Operational value creation focus



What they do?

OBSERVED PATTERNS

Financial Services Deals - Asia (2022-2025)

Investments spanning the FS value chain

Insurtech (Oona) → MSME lending (Vistaar) → Housing finance (TruHome) → Universal banking (IDFC First)

Stage diversification

Seed to growth to scale



What it reveals?

INFERENCES

‘Platform Expansion Through Vertical Depth’

- Sub-sector sequencing for ecosystem building
- Focus on domestic consumption themes in emerging Asia
- Investments align with regulatory priorities

Sources:

Summary- Warburg Pincus Press Release (Apr 17, 2025); IDFC BSE Filing; RBI Approval (Jul 19, 2025); Forrester Research (2024)

Portfolio Logic (Publicly Stated + Past deals)- CEO V. Vaidyanathan & Head of Asia Vishal Mahadevia, Warburg Pincus Press Release (Apr 17, 2025)

IDFC FIRST DEAL DEEP DIVE



Deal Snapshot

WP'S LARGEST INDIA FS INVESTMENT

- Target

- IDFC FIRST Bank
- #1 digital bank in India (Forrester)
- 10M+ customers | ₹2.4L Cr deposit base
- Deal Type

Growth Equity - Primary capital raise via CCPS
- Date

April 2025 (Announced) | July 2025 (RBI Approval)
- Sector

Financial Services - Universal Banking
- Deal Size

₹4,876 Cr (\$587M) for 9.99% stake @ ₹60/share



Key Risks & Mitigation (Inferred from market and deal research)

Risk	Mitigation
Profitability Pressure -PAT declined 48% in FY25 -MFI Crisis	MFI reduced to 4% of book; 66% insured via CGFMU Core banking (96% of book) remains healthy: GNPA 1.81%
Governance Friction Shareholders rejected WP board seat (64% vs 75%)	ADIA co-invested (validates governance quality) Retail shareholders → 98.67% supported WP
Asset Quality Risk -Industry-wide MFI stress -Provisions at 2.46% of loan book	Provision coverage ratio >70% Granular deposit base: 79% retail, CASA 46.9%
Capital Requirements 20% loan growth needs capital headroom	Post-raise CAR increases to 18.9% (vs 11.5% minimum) Unlocks ₹40,000+ Cr incremental lending capacity



The Rationale

WHY THE DEAL MAKES SENSE?

Observable Portfolio Patterns

- 01

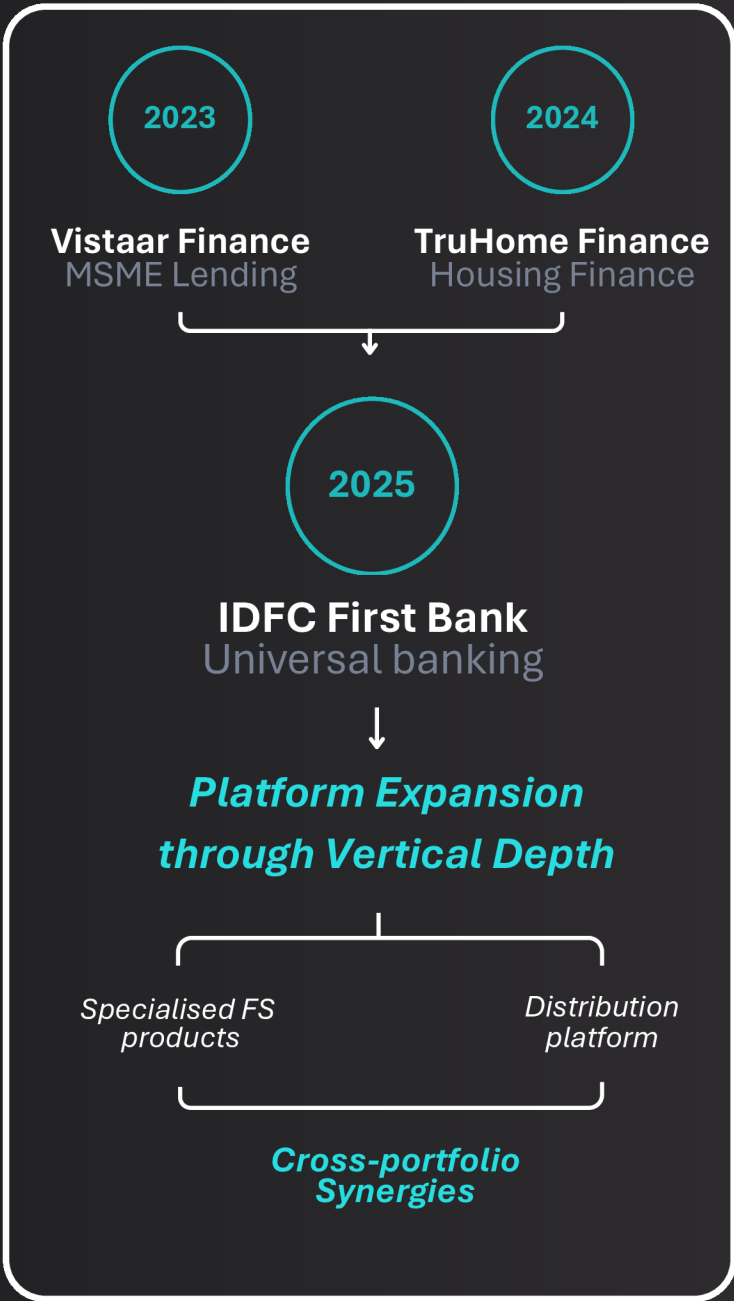
Geographic Clustering → 3 of 4 FS deals in India
75% capital concentration in domestic market
- 02

Sub-Sector Sequencing → Cross-portfolio Synergies → IDFC First serves as the "anchor"
- 03

Sub-Sector Sequencing → Cross-portfolio Synergies

IDFC First Delivers

- Market leader in digital banking
(#1 mobile app, 46.9% CASA ratio)
- 52% PSL ratio (vs 40% mandate)
- Capital strengthens CAR from 16.1% → 18.9%,
enabling 5-7 year growth runway
- 10-year relationship with CEO V. Vaidyanathan



Sources:

Deal Snapshot- Warburg Pincus Press Release (Apr 17, 2025); IDFC BSE Filing; RBI Approval (Jul 19, 2025); Forrester Research (2024)

The Rationale- CEO V. Vaidyanathan & Head of Asia Vishal Mahadevia, Warburg Pincus Press Release (Apr 17, 2025)

Key Risks & Mitigation- IDFC Q4 FY25 Results & Investor Presentation (Mar 31, 2025); CEO Earnings Call (Apr 24, 2025); EGM Voting Results (May 19, 2025); Forrester Research (2024); RBI Banking Statistics (Mar 2025)

Leveraging insights from Vishal Mahadevia's recent interviews and following the portfolio logic observed, we identify opportunities across two priority India investment themes:

Category I - Financial Services

- Deploy WPFS III capital (\$3B fund)
- Target \$300M-\$1B ticket sizes
- Fill gaps in FS value chain

Category II - Under the Radar Sectors

- Mid-market companies
- India-focused with global technology export potential
- Import substitution opportunities
- "Great value, great technology, great proposition"

Pine Labs

PAYMENTS & MERCHANT COMMERCE
CATEGORY I

Why it fits WP's thesis?

- **WPFS III Deployment:** \$300-400M ticket size for 10-12% stake (sweet spot range)
- **Market Leader with Validation:** Successfully IPO'd 2025
 - ₹27,176 Cr market cap (~\$3.2B)
 - #1 in prepaid card issuance (Redseer)

Commercial Upside

India digital payments

₹116 trillion (FY25) → ₹256-276 trillion (FY29) [18-20% CAGR]

BNPL Scale-up

40% of revenue (30%+ margins) vs traditional PoS (15% margins) - shift mix to 60% by FY28

Principal Risk

UPI Cannibalization

Pine Labs' PoS MDR revenue: 70% (FY22) → 60% (FY25)

Mitigation

Strategic pivot to BNPL/Credit

Already 40% of revenue, growing 35% YoY

Q1 FY26 first-ever quarterly profit despite UPI pressure

Sahajanand Medical Tech (SMT)

MINIMALLY INVASIVE CARDIOVASCULAR DEVICES
CATEGORY II

Why it fits WP's thesis?

- **Mid-Market Profile:** \$123M revenue (FY25), \$330M valuation, 2,110 employees
- **India-Focused with Global Export Potential:**
 - 70% domestic (India's 60M+ cardiovascular patients)
 - 30% exports to 90+ countries (Middle East, SEA, Africa)
- **Import Substitution Opportunity:** India imports 75%+ of cardiovascular devices

Commercial Upside

- India cardiovascular device market: \$1.2B (2024) → \$2.8B (2030) [15% CAGR]
- Value: Positioned at 60-70% price point of Abbott/Medtronic imports
- Local manufacturing = 40-50% cost advantage vs imports

Principal Risk

FDA Approval Delays for Premium Products

~40% FDA inspection failure rate

Mitigation

Don't wait for FDA - scale emerging markets first

- Middle East: CE Mark sufficient; \$40M → \$80M (FY25-28)
- SEA/LatAm: ASEAN MRA accepts CE Mark; easier regulatory path

Sources:

Vishal Mahadevia, CNBCTV18 (Jan 2025); WP WPFS III announcement (Dec 2024)

Pine Labs RHP & Q1 FY26 Results; Redseer Report on India Digital Payments (2025); Pine Labs RHP (Nov 2025); NSE/BSE IPO filings; TechCrunch, "Pine Labs IPO Listing" (Nov 14, 2025)

IBEF Medical Device Report (2024); SMT Tracxn Report & DRHP (Jul 2025); Meril Life Sciences Case Study (WP portfolio)